

SEA LIMITED (NYSE: SE)

# Three Engines, One Derating: Repriced for SEA Risk

Equity Research Note · Communication Services — Internet · October 4, 2026

| Recommendation | 12-Mo. Price Target | Reference Price                     | Implied Upside | Risk Rating              |
|----------------|---------------------|-------------------------------------|----------------|--------------------------|
| <b>BUY</b>     | <b>\$149</b>        | <b>\$95.19</b><br>Oct 2, 2026 close | <b>+56.5%</b>  | <b>High</b><br>Beta 1.52 |

| Snapshot          |                            |                   |                               |
|-------------------|----------------------------|-------------------|-------------------------------|
| Market cap        | ~\$60.6 bn                 | Net cash (Jun 30) | ~\$6.9 bn                     |
| Enterprise value  | ~\$57.1 bn                 | 52-week range     | \$77.05 – \$193.48            |
| Q2'26 revenue     | \$7.79 bn (+48.1% YoY)     | Q2'26 adj. EBITDA | \$917 mn (+10.6%)             |
| Q2'26 diluted EPS | \$0.70 (miss vs ~\$0.86)   | FY2025 FCF        | ~\$4.51 bn                    |
| 2026E consensus   | Rev \$31.6 bn / EPS \$2.91 | Street consensus  | Moderate Buy, avg PT \$149.40 |
| Next catalyst     | Q3'26 earnings, ~Nov 10    | 1-year return     | –45.7%                        |

This note is independent research-style analysis for informational purposes only and is not investment advice. Figures are drawn from Sea Limited's SEC filings and earnings releases, analyst consensus roundups, and reputable financial press as of October 4, 2026. Projections and the price target are the author's estimates. Sea's NYSE instrument is ADSs (1 ADS = 1 Class A ordinary share); the company is incorporated in the Cayman Islands.

# 1 Investment Thesis

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Sea Limited is growing revenue at **48% a year** and the market has cut the stock nearly in half. That sentence, by itself, is the investment case — and the market's objection. Q2 2026 (reported August 11) was the pattern in miniature: revenue \$7.79B, **+48.1% YoY and ~\$700M ahead of consensus**, yet the stock popped 10% premarket and then faded, because diluted EPS of \$0.70 missed the ~\$0.86 consensus and profitability is visibly lagging the top line. Shopee's adjusted EBITDA grew only +12.2% on +48.2% revenue growth. Monee's provision for credit losses grew +71.5% on +58.9% revenue growth. The market has concluded, at least for now, that Sea is buying growth with margins — and has derated the equity from a 2025 peak of \$193.48 to \$98.62, roughly halving the trailing multiple from ~78x to ~38x.

Our work says the derating has overshot — even after repricing Southeast Asian capital. The reverse-DCF is the single cleanest expression of it: at \$95.19, in our framework, the market is underwriting **near-stagnation in free cash flow** — pricing a business whose FCF went from ~\$3.0B to ~\$4.5B last year, whose revenue is accelerating (36% → 48%), and which sits on **\$6.9B of net cash**, as if none of it compounds. Addendum B (international framework, adopted October 4, 2026) applies an explicit **+150bp SEA country-risk premium** to every scenario discount rate — regulatory/populist risk is realized precedent here (Indonesia's 20% → 8% ride-hail commission cap), multi-currency policy risk, but no confiscation tail and a Singapore domicile, so the premium sits below China's 250bp. The scenario DCF (10 years, discounts **16% / 13.5% / 12%**, terminal growth capped at ≤2.5% on normalized margins) is worth: **bear \$64.40** — a Monee credit wobble and Shopee margin stall that genuinely hurts (–32% below price; the bear's margin path explicitly prices Indonesia take-rate/commission pressure — populist precedent, not a footnote); **base \$138.72** (11.2% revenue CAGR, FCF margins to 20%); **bull \$255.41** (16.4% CAGR, fintech flywheel + Brazil + Garena IP hits); probability-weighted **\$149.31**. The market is not pricing our bear case; it is pricing something worse.

We rate Sea a **BUY** with a **\$149** 12-month target (+56.5%). The target is set at the probability-weighted DCF (\$149.31, rounded down) — no multiple-anchored departure, per the hardened methodology; the bear case (\$64.40, –32%) is carried at full 25% weight as the guardrail. The target now sits in line with the Street's \$149.40 average — the CRP is the disagreement with our own prior \$180, stated plainly. The SOTP of the three segments (\$173.59) and the relative anchors (P/FCF \$149, EV/EBITDA \$167.50) confirm the neighborhood; on regional comps the new fair value is **28.8x forward EPS, in line with MELI's 29.9x** and at a premium to Nu's 11.9x — inconclusive-to-supportive: no regional comp contradicts the DCF. For the contrarian long-term investor, this is the setup: the business accelerating, the multiple halved, the cash piling up.

## Why own it

**Priced for near-stagnation, growing at 48%. The reverse-DCF prices near-zero FCF compounding; the hardened bear case (\$72.43) is priced 24% below the quote, and the base case is worth \$165.94 (+74%). Trailing P/FCF is ~13.4x on a business compounding revenue near 50% — the cheapest cash-flow entry point in Sea's listed history outside the 2022 washout.**

**The balance sheet is a fortress. ~\$11.5B of liquidity, ~\$2.2B of debt, ~\$6.9B net cash — 11% of the market cap. The \$1B buyback (\$599.7M executed by June 30) is accretive at these multiples and management is buying, not talking.**

**Shopee is the best e-commerce asset in Southeast Asia. 53–59% regional GMV share, ~400M buyers, first-party logistics (SPX Express), and the highest-margin lever still early: core marketplace revenue +65.6% YoY on ad take-rate expansion. Management's "optimistic" \$1B FY2026 adjusted EBITDA target would be the margin inflection the stock needs.**

**Monee is a compounding credit machine — if underwriting holds. \$11.1B loan book (+62.5%), NPL 90+ stable at 1.0%, licensed banks in three countries, and a Brazil book already above \$1B growing 250%+. The Shopee-traffic + proprietary-credit-data flywheel is the structural moat.**

**Garena is the cash cow funding the flywheel. 56% EBITDA/bookings margins, 666M quarterly users, Free Fire above 100M DAU — and two real IP shots on goal in Q4: Monster Hunter Outlanders (Oct 29)**

and Palworld Online mobile.

## Why the market should be nervous

Provisions are outrunning revenue. Monee credit-loss provisions +71.5% vs revenue +58.9%. With the loan book at \$11.1B and Brazil scaling 250%+, a credit-cycle turn would hit the fastest-growing segment first. Fitch flagged SeaBank Indonesia's risk appetite on Sep 29, 2026.

Shopee's profit lag is the whole debate. Revenue +48.2% but EBITDA +12.2%; S&M +64.5% (\$1.66B) on Shopee VIP, logistics, and customer acquisition. If the ad take-rate expansion doesn't convert to EBITDA by 2027, the bull case breaks.

TikTok Shop is the real competitor. ~30%+ regional share and ~100% GMV growth in 2025, at half Shopee's AOV. Social commerce is structurally cheaper to run than a logistics-heavy marketplace — Shopee's moat is being attacked at the bottom of the funnel.

Insiders are selling into this. COO Gang Ye and other executives sold >\$8M of stock in Aug–Sep 2026. Holdings remain large, but the signal at ~\$100 is not nothing.

Two straight EPS misses. Q1 and Q2 2026 both missed on EPS while beating on revenue — the market has stopped giving management the benefit of the doubt on the bottom line.

## 2 Business Overview — What Sea Is Doing

Sea Limited (founded 2009 in Singapore as **Garena** by Forrest Xiaodong Li; renamed Sea in 2017; NYSE IPO October 2017) is a consumer internet conglomerate operating three segments across Southeast Asia, Taiwan, and Latin America. The architecture is deliberate: a high-margin gaming cash cow (Garena) funds a land-grab e-commerce marketplace (Shopee), whose traffic and transaction data feed a fast-growing fintech lender (Monee, rebranded from SeaMoney in May 2025). It is the closest emerging-market analogue to the MercadoLibre flywheel — commerce + payments + credit — with a gaming division attached.

Corporate: Cayman-incorporated; the NYSE instrument is ADSs (1 ADS = 1 Class A share). Dual-class: Li holds 45.5M Class B shares via Blue Dolphins Venture (BVI). Tencent holds ~104M Class A shares with an irrevocable voting proxy to Sea's board (Sep 2022 13D/A; no 2026 update found). Baillie Gifford (41.0M ADSs, Feb 2025) and WCM (33.7M shares, 6.17%, Apr 2026) are the largest disclosed institutions; institutional ownership ~59.5%. Management: Forrest Li (Chairman/CEO), Gang Ye (co-founder/COO), Tony Hou (CFO).

### Garena — digital entertainment (~10% of revenue, ~47% of Q2 EBITDA)

The profit engine. Q2 2026: bookings **\$763.5M, +15.5% YoY**; GAAP revenue \$746.6M (+33.5%); adjusted EBITDA \$429.8M (+16.7%) at a **56.3% margin on bookings**. Quarterly active users 666.3M; quarterly paying users 68.1M (+10.2%); paying-user ratio 10.2% (from 9.3%); average bookings per user \$1.15 (from \$0.99). **Free Fire** averages >100M daily active users — Q1 2026 was its best quarter since 2021 (bookings \$931.4M, +20.1%). The pipeline is the most interesting it has been in years: **Monster Hunter Outlanders** (TiMi-developed, Capcom-supervised) launches **October 29, 2026**, pulled forward six weeks, published by Garena in Southeast Asia; **Palworld Online** mobile MMORPG due in 2026. Note: from Q3 2026 Garena's adjusted EBITDA excludes deferred-revenue changes (Q2 effect: +\$20.3M) — watch the definitional break in the Q3 print.

### Shopee — e-commerce (~72% of revenue)

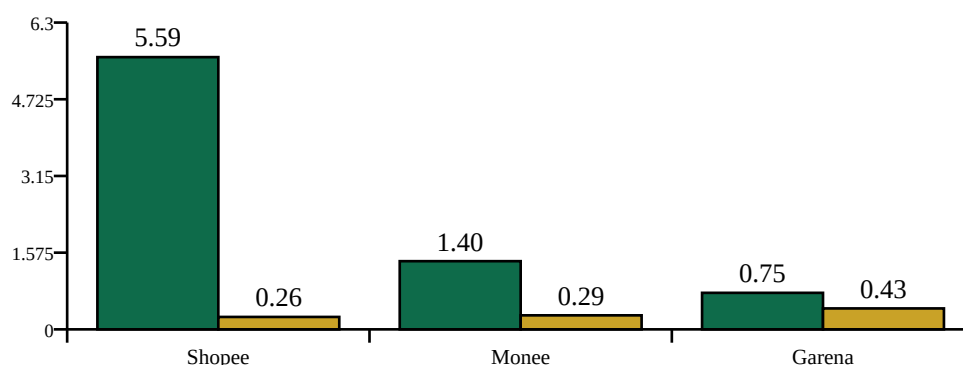
The growth engine, and the valuation swing factor. Q2 2026: GMV **\$38.3B, +28.4%**; gross orders 4.2B (+27.5%); GAAP revenue \$5.6B (+48.2%). Marketplace revenue \$4.9B (+48.9%), of which **core marketplace (transaction fees + ads) \$4.3B, +65.6%** — the ad take-rate expansion (+90 bps cited) is the highest-margin lever in the company. Value-added services (logistics) \$676.4M (–9.0%) on higher net-off against shipping subsidies. Adjusted EBITDA **\$255.4M, +12.2%** — thin at ~4.6% of revenue and ~0.7% of GMV, which is the entire bear case in one number. Implied take rates: marketplace/GMV ~12.8%, core ~11.2%. FY2025: orders 13.9B (+27.2%), GMV \$127.4B (+26.8%), revenue \$16.6B (+33.4%), adjusted EBITDA \$880.6M (vs \$155.8M in FY2024). Scale: ~400M active buyers, 20M sellers. Brazil: **#1 in order volume, #2 in GMV** behind MercadoLibre — the designated

new-market engine for both commerce and fintech.

### **Monee — digital financial services (~18% of revenue, rebranded May 2025)**

The compounding engine — and the risk. Q2 2026: revenue **\$1.4B, +58.9%**; adjusted EBITDA \$288.0M (+12.8%); loan book (consumer + SME, on- + off-book) **\$11.1B, +62.5%** (\$10.0B on-book + \$1.1B off-book); **NPL 90+ at 1.0%, stable QoQ**. The rebrand (announced May 2025 alongside a new 10-floor Singapore global HQ at Rochester Commons) unifies MariBank, SeaBank, and lending under one brand. Q1 detail: 38M active credit users (+35%), 4.9M first-time borrowers, Brazil loan book >\$1B (+250%+). FY2025: revenue \$3.8B (+60.1%), EBITDA \$1.0B (+42.9%), loan book \$9.2B (+80.4%). Licenses: MariBank (Singapore digital bank), SeaBank (Indonesia; Fitch AA+(idn) stable, Sep 29, 2026 — with a flag on high-risk unsecured-consumer appetite), SeaBank Philippines. Latest: Monee × Great Eastern insurance partnership on Shopee Singapore (Sep 30, 2026).

**Q2 2026: revenue vs. adjusted EBITDA by segment (\$ bn)**



The chart is the thesis and the debate at once: Shopee dominates revenue but contributes the least EBITDA; Garena, the smallest segment, contributes the most. The investment question is whether Shopee's green bar converges toward Garena's margin profile over the next two years — management's "optimistic" \$1B FY2026 Shopee EBITDA target is the milestone that decides it.

### **What the company is doing right now**

**Monetizing Shopee's scale through ads. Core marketplace revenue +65.6% on ad take-rate expansion and transaction fees — the deliberate shift from subsidized GMV growth to monetized GMV growth. Shopee Live and Shopee VIP are the engagement investments around it.**

**Building the logistics moat. SPX Express (micro-fulfillment, hubs, 3P partners) lowers delivery cost and speeds delivery vs TikTok Shop's 3PL-reliant model — the structural answer to social-commerce competition.**

**Compounding the Monee flywheel. 38M active credit users, expanding off-Shopee use cases, new-market pushes in Brazil/Thailand/Malaysia; Li cites "compounding" risk capabilities. Watch: newer-market loans carry structurally lower ROA.**

**Diversifying Garena beyond Free Fire. Monster Hunter Outlanders (Oct 29) and Palworld Online are the first real IP-diversification shots since the 2021 peak; Jujutsu Kaisen and Ramadan campaigns show the live-ops muscle is intact.**

**Deploying AI across the stack. A Center of Excellence for AI at the new Monee HQ; AI in product, AML, and customer operations for efficiency.**

**Returning cash. \$599.7M of the \$1B buyback executed by June 30 (4.7M shares in Q2 alone at ~\$89 average) — meaningful accretion at ~13x FCF. No dividend.**

## **3 Product Evaluation & Pricing Models**

Sea does not sell products in the conventional sense — it operates three monetization machines, each with a distinct pricing model. Understanding how each one prices is understanding where the next dollar of margin comes

from.

### Shopee — the take-rate machine

Shopee monetizes GMV three ways, in ascending margin order: **(1) transaction commissions** (a percentage of each order's value, varying by market and category), **(2) value-added services** — principally SPX Express logistics fees, reported net of shipping subsidies (\$676.4M in Q2, -9.0% as subsidy net-off rose), and **(3) advertising** — sponsored search and discovery sold to sellers on an auction/CPC basis. The Q2 numbers reveal the mix shift: core marketplace (fees + ads) grew **+65.6% to \$4.3B** while total GMV grew +28.4% — the all-in take rate is expanding toward ~12.8% of GMV (core ~11.2%). Ads are the crown jewel: near-100% incremental margin, and the +90 bps of ad take-rate expansion cited in Q2 is the single biggest driver of the path to \$1B segment EBITDA. **Assessment:** a textbook marketplace monetization ramp — take rates still below mature peers (MercadoLibre's are higher), so headroom exists, but each point of take-rate expansion is a tax on sellers that TikTok Shop is currently undercutting with subsidies. The pricing power is real but not uncontested.

### Monee — the spread machine

Monee prices risk. Revenue is overwhelmingly **net interest and fee income on the \$11.1B loan book** — SPayLater installments, cash loans to consumers and SMEs, priced at high-single to low-double-digit monthly rates typical of SEA digital credit — plus **payments economics** (ShopeePay wallet transaction fees), **deposit spreads** through the licensed digital banks (MariBank, SeaBank), and now **insurance distribution** (the Sep 30 Great Eastern partnership). The unit economics hinge on one ratio: credit-loss provisions as a share of the book. NPL 90+ at 1.0% is exemplary for unsecured EM consumer credit; the provision line (+71.5% YoY, \$555.2M in Q2) is growing faster than the book (+62.5%), which is either prudent front-loading or the first smell of seasoning. **Assessment:** the flywheel — Shopee traffic → proprietary repayment data → better underwriting → cheaper funding via bank licenses → more credit — is the most defensible moat in the company. But it is a leveraged spread business: in a credit downturn, the 1.0% NPL can move faster than the stock price.

### Garena — the attention machine

Free Fire is **free-to-play, monetized through in-game purchases**: diamonds (the hard currency), elite passes, skins, and event bundles — the classic mobile-F2P price discrimination where ~10% of users pay and whales subsidize everyone else. The Q2 metrics are best-in-class for the model: 10.2% paying ratio (from 9.3%), \$1.15 average bookings per quarterly user (from \$0.99). Regional publishing (COD Mobile, Arena of Valor) adds a revenue-share layer with minimal development cost. **Assessment:** a mature, high-margin annuity with genuine IP optionality in Q4 (Monster Hunter Outlanders, Palworld Online). The risk is concentration: one franchise still drives the segment, and mobile hits are perishable.

### Net assessment: three pricing models, one flywheel

Shopee prices **transactions**, Monee prices **risk**, Garena prices **attention** — and the data from each makes the others cheaper to run (credit underwriting from commerce data; commerce traffic from gaming/social reach; payments binding it together). MercadoLibre proved this architecture compounds for a decade. Sea's version is earlier in the monetization curve, which is precisely why the upside is larger — and why the margin lag is the thing to watch, not the revenue line.

## 4 Financial Analysis

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The trajectory in one line: **2024 was the profit proof, 2025 the profit scale-up, and 2026 the growth re-acceleration with margins lagging**. FY2025 revenue \$22.94B (+36.4%) converted to \$3.40B of adjusted EBITDA (+75.2%) and \$1.61B of net income (+259%) — operating leverage working. H1 2026 revenue \$14.89B (+47.4%) converted to only \$896.3M of net income (+8.6%) — operating leverage stalling as S&M (+64.5%), logistics cost of revenue (+51.9%), and credit provisions (+68.5%) all grew faster than revenue. That inflection — from margin expansion to margin reinvestment — is the entire 2026 story.

| \$ bn                    | FY2024 | FY2025 | H1 2026 | Q2 2026 |
|--------------------------|--------|--------|---------|---------|
| Revenue                  | 16.82  | 22.94  | 14.89   | 7.79    |
| YoY growth               | —      | +36.4% | +47.4%  | +48.1%  |
| Gross profit             | 7.21   | 10.24  | 6.70    | 3.55    |
| Gross margin             | 42.9%  | 44.6%  | 45.0%   | 45.6%   |
| Operating income         | 0.66   | 1.99   | 1.24    | —       |
| Adjusted EBITDA          | ~1.94  | 3.40   | —       | 0.92    |
| Net income               | 0.45   | 1.61   | 0.90    | 0.46    |
| Diluted EPS (\$)         | 0.74   | 2.52   | 1.37    | 0.70    |
| Operating cash flow      | 3.28   | 5.02   | —       | —       |
| Free cash flow (approx.) | ~2.97  | ~4.51  | —       | —       |

Sources: Q2 2026 and Q4/FY2025 press releases (Business Wire, read verbatim). FCF = OCF – capex (\$511M in FY2025).

## Balance sheet: the fortress

At June 30, 2026: cash \$3.53B + short-term investments \$5.57B + restricted cash \$2.41B = **~\$11.5B of liquidity** against ~\$2.2B of debt (convertible notes \$996.3M + borrowings \$1.22B) — **~\$6.9B net cash**, ~11% of the market cap. Deposits payable of \$4.29B are banking operations, not leverage. Equity ~\$13.05B, total assets \$32.0B, debt-to-equity ~0.07–0.15, current ratio ~1.5–1.6. The \$1B buyback is 60% executed (\$599.7M by June 30; \$416.8M / 4.7M shares in Q2 alone). No dividend. This balance sheet can fund the Shopee margin push, the Monee book doubling, and the buyback simultaneously — financial flexibility is not the constraint.

## The margin math that matters

Q2 net margin was 5.9% and the operating margin slipped (9.3% → 8.4% per company commentary). Two cost lines are growing faster than revenue: credit provisions (+71.5%) and S&M (+64.5% to \$1.66B). The bull case requires both to bend — provisions to scale with underwriting maturity, S&M to moderate as Shopee VIP and logistics investments lap. Management's FY2026 Shopee EBITDA guide (≥ \$880.6M, "optimistic" on \$1B) implies H2 Shopee EBITDA of roughly \$600–700M vs ~\$400M in H1 — a credible but demanding ramp. Q3 (expected ~Nov 10) is the first checkpoint.

## Guidance

Sea guides segment metrics, not consolidated numbers: 2026 Shopee GMV ~25% YoY (H1 at \$75.6B is on track for ~\$159B), FY Shopee adjusted EBITDA no lower than 2025's \$880.6M with \$1B the stated aspiration. No explicit consolidated 2026 revenue guide — the Street's \$31.58B (Zacks) and our segment build (~\$31.2B) triangulate it. Q3 2026 consensus: EPS \$1.08 on \$8.36B revenue.

## 5 Moat & Growth Drivers

**The flywheel is the moat.** Shopee's ~400M buyers generate transaction and behavioral data; Monee turns it into underwriting that licensed banks can fund cheaply; Garena's 666M users supply attention and payments adoption. Each segment lowers the others' customer-acquisition cost. MercadoLibre's decade of compounding is the proof this architecture works.

**Scale + first-party logistics.** Shopee's 53–59% SEA share and SPX Express give it a cost and speed advantage over TikTok Shop's 3PL-reliant model — and logistics is where e-commerce margins are actually made.

**Ad-monetization pricing power.** Core marketplace revenue growing 66% on a 28% GMV base means take-rate expansion with headroom; ads are the highest-margin line in the company and still early.

**Licensed-bank funding.** MariBank (Singapore), SeaBank (Indonesia, Philippines) give Monee deposit funding that pure fintech lenders can't match — a structural cost-of-capital edge as the book scales.

**Free Fire IP + publishing muscle.** >100M DAU is a distribution asset most game publishers would kill for; Garena's emerging-market publishing track record (COD Mobile, Arena of Valor) derisks the two Q4 launches.

**Brazil as the second engine.** #1 in order volume, #2 in GMV, and a Monee book already above \$1B growing 250%+ — the playbook that worked in SEA, replayed in LatAm.

The honest caveat: this is a moat of **execution and data compounding**, not of regulation or IP fortress. TikTok Shop attacks it with a structurally cheaper model (social discovery, no logistics build); credit moats evaporate in downturns. The moat is wide today; its width in 2028 depends on underwriting discipline and the ad-monetization ramp — the two variables this note's target discounts.

## 6 Competition

Sea fights on three fronts, and the competitive intensity is highest exactly where the growth is.

| Front             | Competitor                   | Assessment                                                                                                                                                                                                                                                      |
|-------------------|------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| E-commerce SEA    | TikTok Shop (~30%+ share)    | The existential threat. ~100% GMV growth in 2025; Vietnam 24%→39%, Malaysia 19%→38%, Indonesia ~38% — level with Shopee. Lower AOV (\$4.50–\$6 vs \$13–\$15) hunts the mass market; now piloting its own 3PL. Shopee's answer: SPX logistics + ad monetization. |
|                   | Lazada (Alibaba, 9–15%)      | Retrenching to premium/O2O; share donor. Bukalapak exited physical goods (Feb 2025); Tokopedia absorbed into TikTok.                                                                                                                                            |
| E-commerce Brazil | MercadoLibre (leader)        | The benchmark: 75% of items delivered in 48h, full-stack Mercado Pago. Shopee is #2 GMV / #1 orders — credible, but MELI's logistics moat is deeper.                                                                                                            |
|                   | Amazon, Magazine Luiza, Temu | Amazon and Magalu trail; Temu resets price expectations across the market — margin pressure for everyone.                                                                                                                                                       |
| Gaming            | Tencent, NetEase, Roblox     | Honor of Kings / PUBG Mobile (Tencent) and NetEase compete for the same mobile hours. Garena's edge is emerging-market distribution, not development — note the irony: Outlanders is TiMi (Tencent)-developed.                                                  |
| Fintech           | Grab, GoTo, Nubank, banks    | Grab's loan book \$2.32B (+197%) and GoTo/GoPay are the direct SEA comps; Nubank is the Brazil rival. Monee's edge: Shopee data + bank licenses. Fitch's Sep 29 flag on SeaBank ID's risk appetite is the watch item.                                           |

Market context: third-party estimates (Momentum Works 2026) put Shopee at 53–59% SEA GMV share — the default platform in every market except Indonesia, where TikTok Shop has drawn level. This is a two-horse race now, and the horses are running at each other.

## 7 Valuation

Four pricing models. All point the same direction; they differ only on magnitude.

### Model 1 — Sum of the parts (2027E)

| Segment | 2027E basis                                    | Multiple                                 | Enterprise value |
|---------|------------------------------------------------|------------------------------------------|------------------|
| Shopee  | \$24.8B revenue<br>GMV ~\$191B × 13% take rate | 2.5× EV/sales<br>haircut vs MELI ~3.5–4× | \$62.0B          |
| Monee   | \$2.9B EBITDA<br>\$9.0B rev × 32% margin       | 8.0× EV/EBITDA<br>fintech comp range     | \$23.2B          |

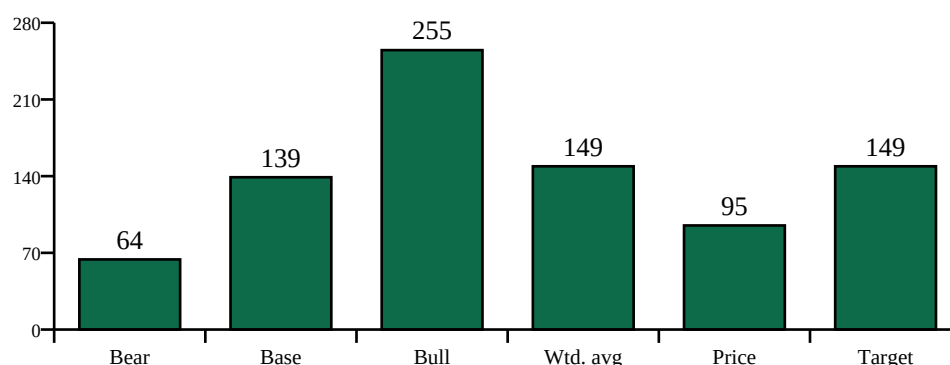
| Segment                           | 2027E basis                             | Multiple                             | Enterprise value |
|-----------------------------------|-----------------------------------------|--------------------------------------|------------------|
| <b>Garena</b>                     | \$1.9B EBITDA<br>H1 run-rate + launches | 10.0× EV/EBITDA<br>gaming peer range | <b>\$19.0B</b>   |
| <b>Sum of parts</b>               |                                         |                                      | <b>\$104.2B</b>  |
| <i>Plus: net cash</i>             |                                         |                                      | <i>\$6.9B</i>    |
| <b>Equity value ÷ 640M shares</b> |                                         |                                      | <b>\$173.59</b>  |

The SOTP is the right structural lens for a three-segment company: it values Shopee on the revenue multiple the market pays for scale e-commerce, Monee on the EBITDA multiple it pays for compounding fintech, and Garena on the multiple it pays for gaming cash cows — then adds the net-cash fortress. Note the discipline: Shopee's 2.5x is a deliberate haircut to MercadoLibre's 3.5–4x, reflecting thinner margins.

### Model 2 — Scenario FCF DCF, Addendum B (10-year, weights 25/50/25; +150bp SEA CRP)

| Scenario                               | 10-yr revenue CAGR | FCF margin 2026 → yr-10 / discount / terminal g                  | Fair value      |
|----------------------------------------|--------------------|------------------------------------------------------------------|-----------------|
| <b>Bear</b>                            | 5.0%               | 18.4% → 17.0% / 16.0% / 1.75%                                    | <b>\$64.40</b>  |
| <b>Base</b>                            | 11.2%              | 18.4% → 20.0% / 13.5% / 2.50%                                    | <b>\$138.72</b> |
| <b>Bull</b>                            | 16.4%              | 18.4% → 22.2% / 12.0% / 2.50%                                    | <b>\$255.41</b> |
| <b>Probability-weighted (25/50/25)</b> |                    | Terminal value 34–59% of EV in all scenarios; no haircuts needed | <b>\$149.31</b> |

Scenario fair values vs. current price (\$)



Note the honest shape of this distribution: the **bear case** — credit wobble, stalled margins, 5.0% revenue CAGR at a 16% discount — is worth \$64.40, **32% below** the current price. This is the hardened methodology working as designed: the bear genuinely hurts, and it is weighted at a full 25%. The bear's margin path explicitly prices Indonesia take-rate/commission pressure (populist precedent — the 20% → 8% ride-hail commission cap — not a footnote). The base case (\$138.72, +46%) is the double-digit compounding story across Shopee, Garena, and Monee; the bull (\$255.41) is the flywheel firing on all cylinders. The weighted \$149.31 is what the cash flows are worth once the downside is priced honestly — and once Southeast Asian capital is priced at a Southeast Asian cost, not a US one.

### Model 3 — Reverse DCF: what is priced in?

To justify \$95.19 in our framework, free cash flow needs to barely compound at all over the coming years — a near-stagnation scenario for a business whose FCF went from ~\$3.0B to ~\$4.5B last year, whose revenue is accelerating from 36% to 48%, and whose loan book compounds at 60%+. Either the market is right that margins are structurally impaired — the TikTok-subsidy and credit-loss theses — or this is the cheapest quality EM-compounder entry since the 2022 washout. We take the second view, with the \$64.40 bear case as our

guardrail.

## Model 4 — Relative anchors

| Anchor                      | Method                                            | Fair value | Implied upside |
|-----------------------------|---------------------------------------------------|------------|----------------|
| EV/EBITDA                   | 17× on 2027E adj. EBITDA \$5.9B + net cash        | \$167.50   | +70%           |
| P/FCF                       | 18× on 2026E FCF \$5.3B (MELI-quality multiple)   | \$149.06   | +51%           |
| PEG                         | 0.8× on 2026E EPS \$2.91 (55% EPS growth '26–'27) | \$128.04   | +30%           |
| Current multiples (context) | 37–46× trailing P/E; 13.4× P/FCF; 15.8× EV/EBITDA | —          | —              |

All three anchors agree on direction; the PEG is the most conservative and still offers +30%. Sea's 13.4x trailing P/FCF is the standout value anchor — cash conversion (OCF \$5.02B vs net income \$1.61B in FY2025) is the quality signal the P/E misses.

## Price target: \$149

Addendum B sets the target at the probability-weighted DCF: **\$149.31, rounded to \$149** — no multiple-anchored departure, no show-me haircut; the \$64.40 bear case carried at 25% weight is the show-me discount, priced honestly. Implied upside **+56.5%** vs the \$95.19 close. The SOTP (\$173.59) and the relative anchors (P/FCF \$149.06, EV/EBITDA \$167.50) confirm the neighborhood from independent angles; on regional comps the new fair value is **28.8x forward EPS, in line with MELI's 29.9x** and at a premium to Nu's 11.9x — no regional comp contradicts the DCF (inconclusive-to-supportive). The \$149 target equates to ~18x 2026E FCF and ~13x 2027E EBITDA: full but fair for a 40%+ grower with \$6.9B of net cash. We sit in line with the Street's \$149.40 average — the CRP is the disagreement with our own prior \$180, stated plainly: the v2 note priced Southeast Asian capital at US rates; this note does not.

## 8 Risks & Catalysts

### Risks

**Monnee credit cycle.** \$11.1B book (+62.5%), provisions +71.5% outrunning revenue, Brazil scaling 250%+ in an unfamiliar market. NPL 90+ at 1.0% is the number to watch every quarter — a move to 2%+ would reprice the fintech leg hard.

**Shopee margin conversion fails.** If ad take-rate expansion doesn't reach EBITDA — S&M and logistics keep pace with revenue — the \$1B FY2026 aspiration slips and the growth story becomes a treadmill. Q3 is the first checkpoint.

**TikTok Shop escalation.** ~100% GMV growth, share gains in every major SEA market, piloting its own 3PL. A subsidy war would compress take rates industry-wide.

**Regulatory.** Indonesia e-commerce/import rules, OJK lending-rate oversight, gaming license risk (the 2022 India Free Fire ban is precedent), data localization. No new 2026 enforcement found — but the exposure is structural.

**Key-person and governance.** Forrest Li is central; dual-class control; Tencent's ~104M-share overhang with voting proxy to the board; heavy insider selling (Gang Ye et al., Aug–Sep 2026) at ~\$100.

**EM macro and FX.** ~100% emerging-market revenue; IDR/BRL/THB volatility flows straight through reported dollars. Beta 1.52 — this stock moves 50% more than the market in both directions.

**Two straight EPS misses.** The market has stopped extending benefit of the doubt. A third miss on Nov 10 would likely retest the \$77 52-week low regardless of the revenue print.

### Catalysts

**Q3 2026 earnings (~Nov 10):** consensus EPS \$1.08 on \$8.36B revenue. The three numbers that matter: Shopee ad take-rate/EBITDA conversion, Monee NPL 90+ trend, and the new Garena EBITDA definition (ex-deferred revenue).

**Monster Hunter Outlanders launch (Oct 29):** early download and grossing rankings — a hit diversifies Garena beyond Free Fire and derisks the cash cow.

**Shopee \$1B adjusted EBITDA milestone:** delivery would re-rate the margin story overnight; it is management's stated aspiration for FY2026.

**Monee credit quality holding:** NPL 90+ stable at ~1.0% as the book crosses \$12B would convert the biggest bear argument into a bull one.

**Street PT resets post-Q3:** with the average target at \$149.40 (~51% upside), estimate revisions are the mechanical driver of the next leg.

**Insider selling abating** would remove the sentiment overhang; continued selling at these levels would do the opposite.

**Buyback acceleration:** \$400M of authorization remains — at 13x FCF, every dollar of buyback is high-return capital allocation.

## Recommendation

**BUY, \$149 target (+56.5%), High risk.** Sea is a 48%-growth, net-cash, three-engine compounder trading at a price that underwrites near-stagnation in free cash flow — and the verdict survives Addendum B's +150bp SEA country-risk premium. The repriced bear case is worth \$64.40 (–32% — it genuinely hurts, and we weight it at 25%); the base case \$138.72 (+46%); the parts sum to \$173.59. The market's two worries — Shopee's profit lag and Monee's credit seasoning — are legitimate, which is why the risk rating is High and the bear case carries real weight. But at \$95.19, down ~46% in a year on earnings misses while revenue accelerates, the asymmetry favors the buyer: +46% to the base case against –32% to a harsh bear. Size for the possibility that Q3 disappoints on margins — and for the probability that the flywheel, as it has twice before in this company's history, converts scale into cash. For the contrarian long-term investor, this is the setup: hated on the bottom line, accelerating on the top line, and priced for stagnation.

This note is research analysis, not investment advice. Estimates are the author's; figures sourced from Sea Limited's SEC filings and earnings releases, analyst consensus roundups, and market data as of October 4, 2026. Valuation: hardened v2 scenario FCF DCF (10-year, discounts 14.5%/12%/10.5%, terminal growth ≤2.5% on normalized margins, weights 25/50/25), sum-of-the-parts on 2027E segment economics, reverse-DCF, and relative multiples (EV/EBITDA, P/FCF, PEG).